

BUILDING SOCIO-ECONOMIC PROSPERITY

GRI: 203-2

REDEFINING GROWTH, EMPOWERING COMMUNITIES, TRANSFORMING LIVES

For over 54 years, LBF has been a driving force in Sri Lanka's economic and social progress. We have fostered job creation, broadened financial inclusion, spearheaded innovation, and empowered communities, reshaping the financial landscape for individuals and businesses alike.

Looking at 2024/25, our commitment to inclusive financial growth remains steadfast. We will expand access through branch networks and digital platforms, empower women entrepreneurs, and strengthen foreign exchange accessibility, continuing to contribute to Sri Lanka's evolving economy.

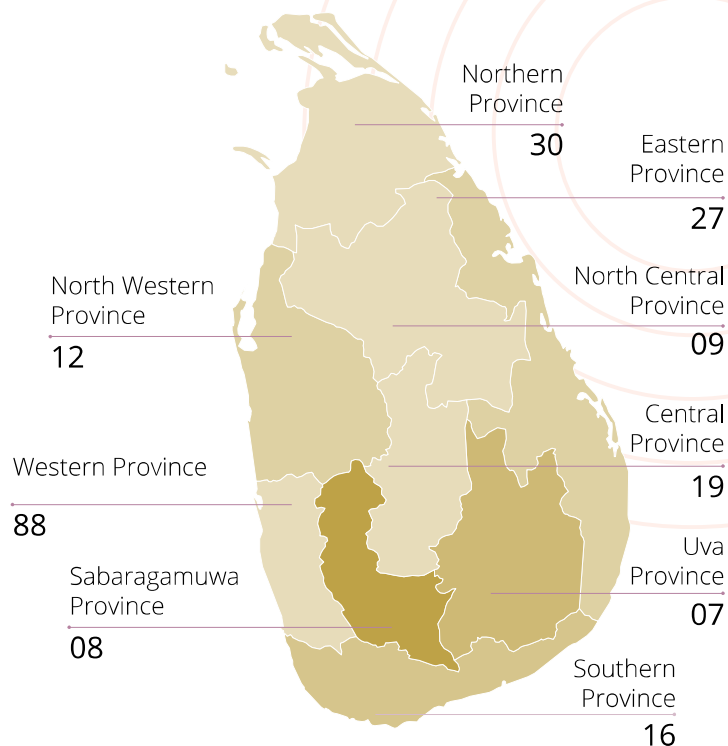
1 EXPANDING ECONOMIC HORIZONS

A thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps, by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, enabling their growth and success.

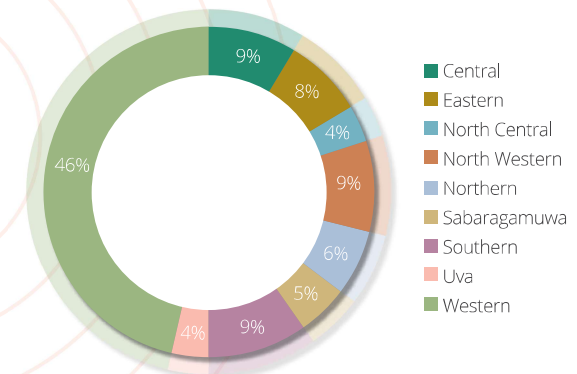
Financial Inclusiveness Through Branch Expansion

Our commitment is to reach every Sri Lankan with essential financial services. In 2024/25, we demonstrated this commitment by launching 10 new branches, including 03 strategically placed in North and East areas, extending affordable and reliable access to those communities.

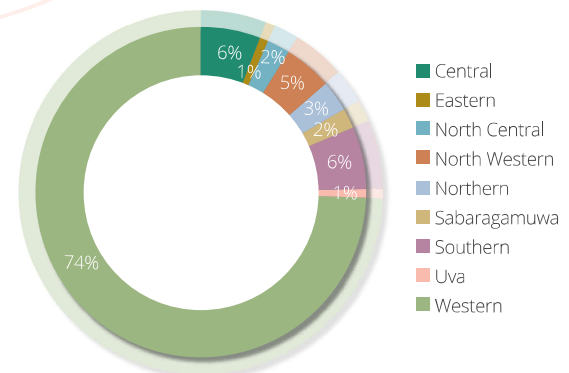
Provincial Distribution of Branches



Provincial Distribution of Loans



Provincial Distribution of Deposits



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Digital Access: Breaking Barriers with Innovation

From digital financing to AI-driven lending, we are at the forefront of next-generation digitalised financial services, ensuring seamless, 24/7 access to financial transactions. Our digital platforms empower customers to manage their finances anytime, anywhere, enhancing convenience and accessibility.

In 2019, we entered the mobile digital transaction space with the launch of the LB CIM app, introducing two dedicated platforms: one for individual customers and another tailored for merchants, enabling secure and efficient digital transactions for a range of financial needs.



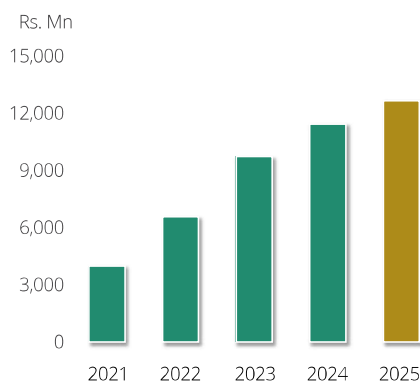
Strengthening the Economy Through Responsible Contributions

As a leader in the Non-Banking Financial Institution (NBFI) sector, we are proud to be the highest taxpayer in the industry. Our contributions are vital to Sri Lanka's economic growth, supporting essential public services and strengthening financial stability.

Rs. 12,645 Mn

Total tax paid to the Government during the year

Tax Paid to the Government

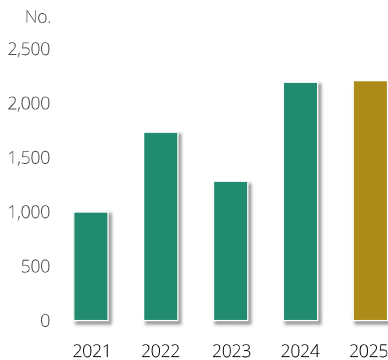


2 JOB CREATION

From Employment to Empowerment

We empower entrepreneurs to build businesses and create jobs. Our commitment to economic growth extends far beyond our own Company, impacting communities across Sri Lanka.

New Employment Opportunities



4 EMPOWERING WOMEN

Financial independence is a key driver of social progress, and we are leading the charge in empowering women entrepreneurs and professionals. Our targeted programmes provide customised financial support, mentorship, and networking opportunities, empowering women-owned businesses to thrive and achieve significant growth.

Rs. 84 Bn

Gold Loans granted to women entrepreneurs

2,090

Women representation in workforce

Rs. 374 Mn

LB CIM Business and Personal Loans disbursed to women entrepreneurs

10,289

Number of vehicle financing facilities granted to women

3 ECONOMIC VALUE CREATION

Economic Value Creation

At LBF, we measure success by more than profit. We measure it by the real economic value we create.

Our Economic Value Added (EVA) and Market Value Added (MVA) reflect our commitment to sustainable wealth creation for all stakeholders.

Our EVA and MVA demonstrate our commitment to generating wealth beyond financial transactions, ensuring long-term prosperity for shareholders, employees, and customers.

Economic Value Added (EVA)

	2024/25	2023/24
For the year ended 31st March	Rs. million	Rs. million
Invested Equity		
Equity owner's funds	51,266.00	43,626.07
Add: Cumulative loan loss provision/provision for impairment	7,112.63	7,309.25
	58,378.63	50,935.32
Earnings		
Profit attributable to shareholders	10,805.63	9,563.64
Add: Loan losses and provisions/impairment provision	(256.24)	373.24
	10,549.40	9,936.87
Economic cost % (Average Treasury Bill rate plus 2% risk premium)	11.51	16.80
Economic cost	6,291.02	8,140.42
Economic value added	4,258.38	1,796.45

Market Value Added (MVA)

	2024/25	2023/24
For the year ended 31st March	Rs. million	Rs. million
Market capitalisation		
Market value of equity	47,925.94	34,794.79
Less: Equity owners' funds		
Total equity owners' funds	51,266.00	43,626.07
Market value added/(destroyed)	(3,340.06)	(8,831.28)

By expanding financial access and providing crucial skills development, we are empowering women to become economic powerhouses, creating a ripple effect of job creation, stability, and transformative economic change across communities.

LBF'S IMPACTFUL SOCIO-ECONOMIC FOOTPRINT

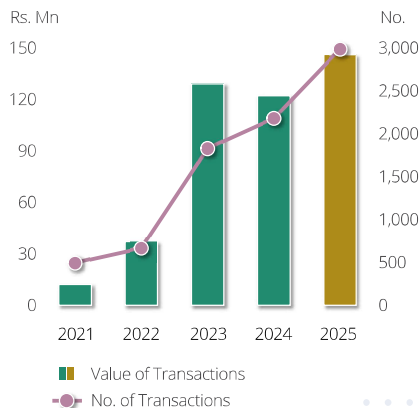
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FOREIGN CURRENCY EXCHANGE

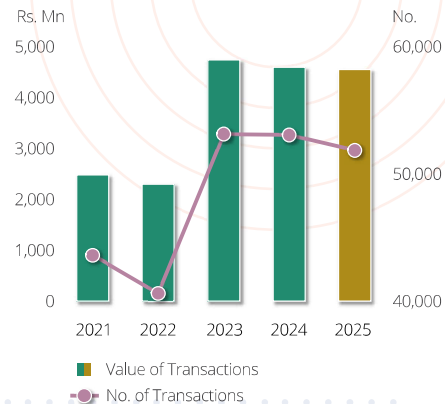
LBF leverages its position as a principal agent for Western Union Money Transfer systems, to increase the volume of foreign currency inflows to the country.



Foreign Exchange Transactions



Western Union Transactions



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RURAL DEVELOPMENT

LBF supports the development of provincial economies via its island-wide branch network. In line with efforts to provide equal access to all Sri Lankans, our most recent branch expansion strategy has focused on reaching out to customers in the North and East regions of Sri Lanka.

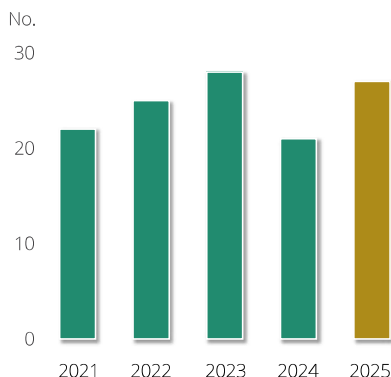


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SUPPORTING COMMUNITIES

Our commitment extends beyond financial contributions to uplifting communities through impactful social development programmes. Our strategic CSR initiatives focus on education, healthcare, financial literacy, and environmental sustainability, ensuring our growth benefits society as a whole.

No. of CSR Projects



Investment in CSR Projects

